Civil Resolution Tribunal

Date Issued: August 22, 2018

File: SC-2018-001006

Type: Small Claims

Civil Resolution Tribunal

Indexed as: *C&D Logistics Ltd. v. Salmon's Rentals Ltd.*, 2018 BCCRT 465

B E T W E E N :

C&D Logistics Ltd.

APPLICANT

A N D :

Salmon's Rentals Ltd.

RESPONDENT

REASONS FOR DECISION

Tribunal Member: Shelley Lopez, Vice Chair

INTRODUCTION

1. This dispute is about alleged non-payment for services completed by the applicant, C&D Logistics Ltd., for the respondent, Salmon's Rentals Ltd. In particular, the

applicant claims a total of $4,208.90 for payment of 2 invoices, inclusive of interest.

2. The respondent simply says that it reasonably refuses to pay because it had to refund its client "due to the lack of execution" by the applicant as originally agreed. The applicant is represented by David Miao, an employee or officer. The respondent is represented by Shane Bozzer, who appears to be an employee or officer.

JURISDICTION AND PROCEDURE

3. These are the formal written reasons of the Civil Resolution Tribunal (tribunal). The tribunal has jurisdiction over small claims brought under section 3.1 of the *Civil Resolution Tribunal Act* (Act). The tribunal's mandate is to provide dispute resolution services accessibly, quickly, economically, informally, and flexibly. In resolving disputes, the tribunal must apply principles of law and fairness, and recognize any relationships between parties to a dispute that will likely continue after the dispute resolution process has ended.

4. The tribunal has discretion to decide the format of the hearing, including by writing, telephone, videoconferencing, email, or a combination of these. I decided to hear this dispute through written submissions, because I find I can fairly decide the dispute based on the documentary evidence and submissions before me, without holding an oral hearing.

5. The tribunal may accept as evidence information that it considers relevant, necessary and appropriate, whether or not the information would be admissible in a court of law. The tribunal may also ask questions of the parties and witnesses and inform itself in any other way it considers appropriate.

6. Under tribunal rule 126, in resolving this dispute the tribunal may: order a party to do or stop doing something, order a party to pay money, or order any other terms or conditions the tribunal considers appropriate.

ISSUES

7. The issues in this dispute are to what extent, if any, the respondent owes the applicant $4,208.90 for unpaid invoices and associated interest.

EVIDENCE AND ANALYSIS

8. I have only commented on the evidence and submissions to the extent necessary to give context to these reasons. In a civil dispute such as this, the applicant bears the burden of proof on a balance of probabilities.

9. The applicant provided transportation services for 2 shipments of chairs and tables, which the respondent's customer had rented:
   a. **Shipment #1**: To be picked up July 6, 2017 from Edmonton, and delivered to the Vancouver Convention Centre (VCC) for Friday July 7 "1pm-3pm window".

   b. **Shipment #2**: To be picked up July 9, 2017 from the VCC at 1:00 a.m., and return it back to Edmonton. The second shipment was delivered to Edmonton on July 13, 2017.

10. As referenced above, the applicant claims payment of $4,208.90 for 2 invoices:
   a. Invoice #1033012 dated July 6, 2017: $1,312.50, plus $148.92 in interest at 26.8% per annum (Shipment #1), and

   b. Invoice #1033013 dated July 10, 2017: $2,467.50, plus $279.98 in interest (Shipment #2). This reflects a $600 "after hours pick up" charge, and a $200 "discount for late pick up", because the pick-up did not happen until 2 p.m.

11. The respondent's issue with the applicant's services is two-fold. First, the respondent says the chairs were a "tangled mess" upon delivery to VCC, as they had not been lashed down during transport. The respondent's rental agreement indicates the chairs were to be loaded on the truck in stacks of 8, with the tables on pallets. The text messages in evidence indicate the applicant acknowledged the

chairs had been loaded improperly. The respondent also says the rented items were "filthy" and several chairs and 2 tables were damaged due to poor packing. On the bill of lading for shipment #1, it was delivered at 2 p.m. Significantly, the fact that the respondent was unhappy with the way the container was loaded was noted on the bill of lading.

12. The applicant says the Shipment #1 was delivered to VCC in a timely manner and it received no reports of any concerns. I do not agree, because of the notation on the bill of lading. The respondent says the improperly loading of the chairs led to increased time and labour charges in unloading them, which I accept given the photos in evidence.

13. The applicant acknowledges that Shipment #2 was not picked up at 1:00 a.m., as expected, due to some confusion with the applicant's carrier. The applicant says that when it was notified, it immediately resolved the problem by sending in the carrier as quickly as possible, and sent additional labour at its own cost to support the loading process. Based on the evidence before me, the applicant's carrier picked up Shipment #2 around 2 p.m. on July 9, 2017. The applicant says in good faith it discounted Shipment #2 by $200, which is reflected in the claim in this dispute. While this is true, I note the applicant's invoice still leaves a net $400 charge for an "after hours" pick up that did not happen.

14. Because the applicant did not pick up the shipment at 1:00 a.m. on July 9, 2017 as expected, the respondent's customer had to move the goods from the loading bay to a temporary storage area. The customer texted the respondent that "this was a total mess from start to finish … my staff ended up moving the stuff twice!". The respondent advised the applicant on November 9, 2017 that in addition to the "state of the rentals" issue, it incurred $3,250 in added charges: $1,300 in extra moving hours on July 7, 2017 and $950 in extra moving hours on July 9, 2017, plus $1,000 for storage of the goods after the applicant failed to pick up Shipment #2 on time. The respondent's November 9, 2017 email to the applicant was that "my client" was forced to incur significant labor charges, and the respondent's

client is not a party to this dispute. The respondent submits that it had to refund its client.

15. On July 19, 2017, Mr. Bozzer emailed the applicant about the damage on shipment #1 that went to VCC, 12 days after the original delivery. Within 15 minutes of Mr. Bozzer's advice of damage, the applicant sent him paperwork to complete in order to file a cargo claim. I agree with the respondent that there was no need for the respondent to make a cargo claim, because the respondent was not claiming compensation for damaged goods. Rather, the respondent's position is that it should not have to pay the applicant's invoices because of the added expenses the poor loading and delayed pick-up caused the respondent.

16. I find it is clear the respondent noted on the bill of lading that Shipment #1 was packed improperly when it was delivered, which I accept caused additional labour charges. It is undisputed that Shipment #2 was not picked up on time, something that was known to the applicant at the time. I accept that the late pick-up caused additional labour and storage charges.

17. On July 31, 2017, the respondent asked the applicant for a quote on another project, which the applicant says is a sign that the respondent was happy with its service. I find nothing turns on this request, as this dispute is about Shipments #1 and #2, and the evidence supporting each party's position.

18. On November 7, 2017, the respondent advised the applicant it was refusing to pay both freight bills on both shipments. Contrary to the applicant's submission, I find that the fact that Mr. Bozzer responded pleasantly is also not determinative.

19. Later on November 9, 2017, Mr. Miao wrote that he understood there were "some issues" with the shipment, and that "if there was something to be discussed, we would have needed to discuss this earlier, when I can go back to my carrier and have them discount the freight charges". I find that the fact that the applicant may have a process with its sub-contracted carrier is not an issue for the respondent.

20. The applicant relies upon its 13-page Terms & Conditions sheet (terms), which the respondent received when it applied for credit with the applicant. I accept that these terms apply to the parties' agreement, which is not particularly disputed. The applicant says that the terms state that the customer (the respondent) must notify the company in writing of any disputes about invoices within 30 days (clause 5.g), and the applicant says that the respondent failed to do so. The terms state that the customer will be deemed to have accepted the invoice in full and waives any and all claims or defences to paying the invoice after that 30-day period.

21. If the respondent had complied with the terms and disputed the applicant's invoices within 30 days, I would have likely found in favour of the respondent. However, the respondent did not dispute the invoices until November 9, 2017, well after the 30-day period. The applicant relies upon the terms when it pays its carriers. Given the respondent failed to give notice of its dispute with the applicant's invoices within 30 days, I find the respondent has under its contract lost the ability to contest the invoices.

22. I do make one exception. I find the applicant cannot reasonably charge the respondent anything for an "after hours pick up charge", given shipment #2 was admittedly not picked up until 2 p.m., through no fault of the respondent. I therefore deduct $400 plus $20 GST from the applicant's invoice for shipment #2. With that $420 deduction, I find the respondent must pay the applicant's invoices, in accordance with the terms, which totals $3,360.00.

23. The applicant is entitled to contractual interest at 26.8% on the $3,360.00, from August 9, 2017.

24. The applicant was substantially successful. Under section 49 of the Act and the tribunal's rules, I find the respondent must reimburse the applicant $175 in tribunal fees.

ORDERS

25. Within 14 days of the date of this decision, I order the respondent to pay the applicant a total of $4,467.55, broken down as follows:
    a. $3,360.00 as payment of the applicant's invoices 1033012 and 1033013,
    b. $932.55 in pre-judgment contractual interest at 26.8% per annum, and
    c. $175 in tribunal fees.

26. The applicant is also entitled to post-judgment interest under the *Court Order Interest Act*, as applicable.

27. Under section 48 of the Act, the tribunal will not provide the parties with the Order giving final effect to this decision until the time for making a notice of objection under section 56.1(2) has expired and no notice of objection has been made. The time for filing a notice of objection is 28 days after the party receives notice of the tribunal's final decision.

28. Under section 58.1 of the Act, a validated copy of the tribunal's order can be enforced through the Provincial Court of British Columbia. A tribunal order can only be enforced if it is an approved consent resolution order, or, if no objection has been made and the time for filing a notice of objection has passed. Once filed, a tribunal order has the same force and effect as an order of the Provincial Court of British Columbia.

Shelley Lopez, Vice Chair